



Q1 2014 – BUSINESS AND FINANCIAL UPDATE



Footprint

- 238 branches
- 7,181 agents
- Over 950 ATMs
- Strong mobile and internet banking platforms
- Operations in 5 other markets in the region
- Access to over 200 International Correspondent banks



Service

KCB continues to re-engineer its service platforms and outlets:

- Branch
- Agents
- Mobile
- Internet
- Cards



Financials

- Doubled asset base over the last 5 years to KShs. 411B
- Core capital of KShs. 51.5B
- Tier 1 Capital ratio of 18%
- Tier 2 Capital ratio of 21.6%



Investors

- Market capitalization at KShs 148.5B (as at 25th April 2014)
- The Second most liquid counter at the NSE
- Doubled dividend payout over the last 5 years from KShs 1.00 to KShs. 2:00

KCB | MACRO-ECONOMIC ENVIRONMENT

GDP

- Real GDP growth is expected to quicken to 6.3% in 2014 and 2015¹, helped by cheaper credit and an improvement in global conditions. Growth will remain strong in 2016-18, although structural constraints will persist
- The size of GDP may be revised upwards as rebasing will have an effect on economic forecasts

Inflation

- In the first quarter of 2014 the inflation rate was on a downward trajectory declining from 7.2% in January to 6.9% in February and 6.3% in March. Inflation is forecasted to range between 5.5%-7% in 2014 supported by the continued decline in food price pressure

Interest Rates

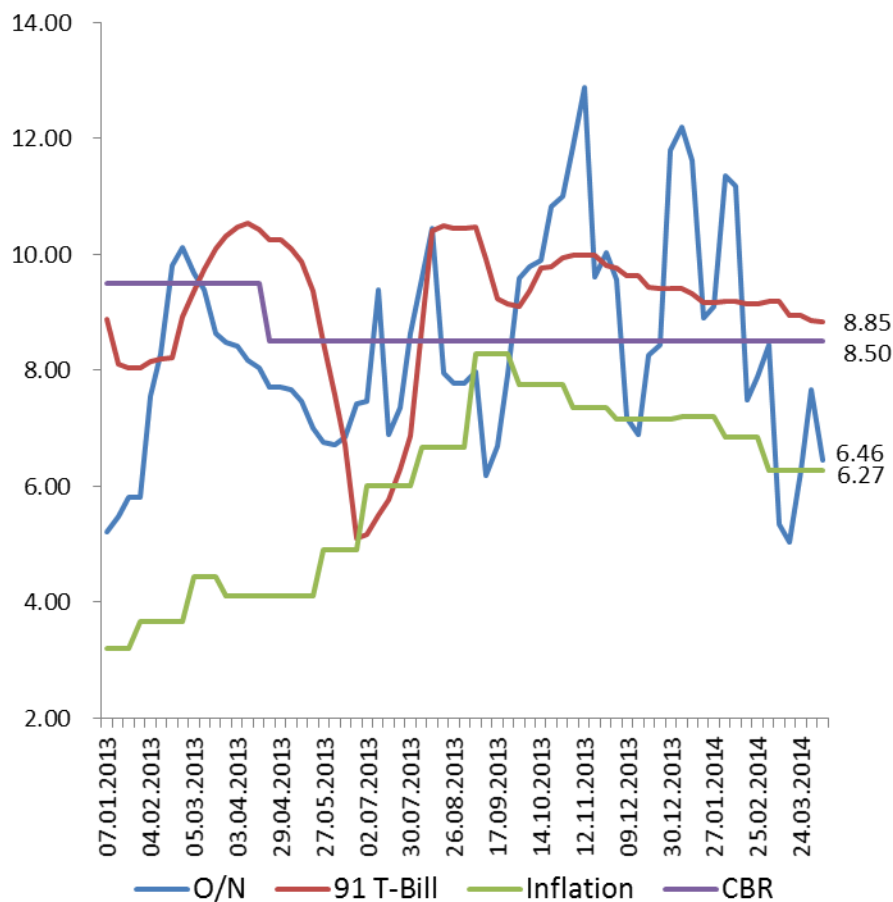
- Central Bank kept interest rates on hold as inflation eased. There is likely to be an upward edge in the second half of 2014 if prices rise. However, a modest cut in interest rates in 2014 remains a possibility, provided inflation continues to fall

Foreign Exchange

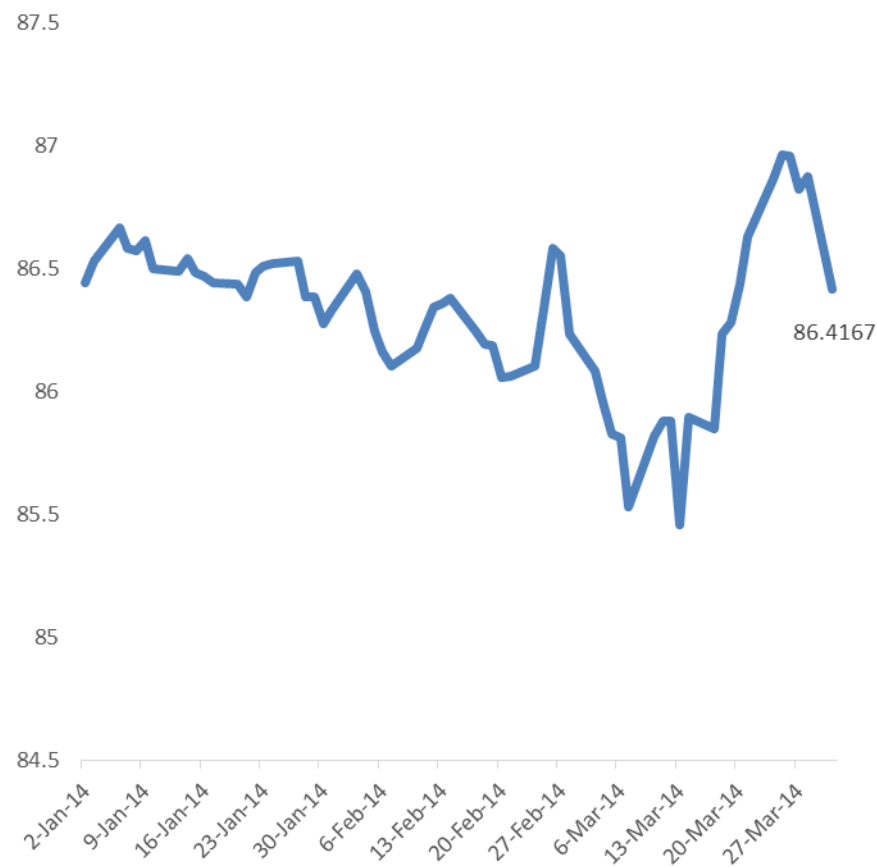
- A slight weakening of the Kenya Shilling against the US Dollar is expected, however, this may be gradual and steady and the shilling continues to trade within the KShs. 85-87 range to the dollar. In the first quarter of 2014 the shilling traded at the range of KShs. 85.50 -87

¹IMF –World Economic Outlook, April 2014

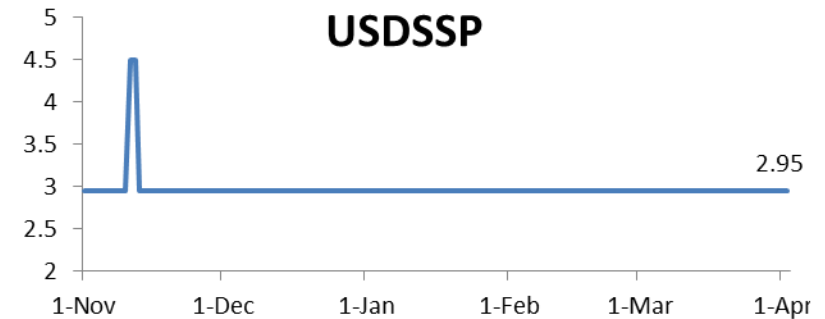
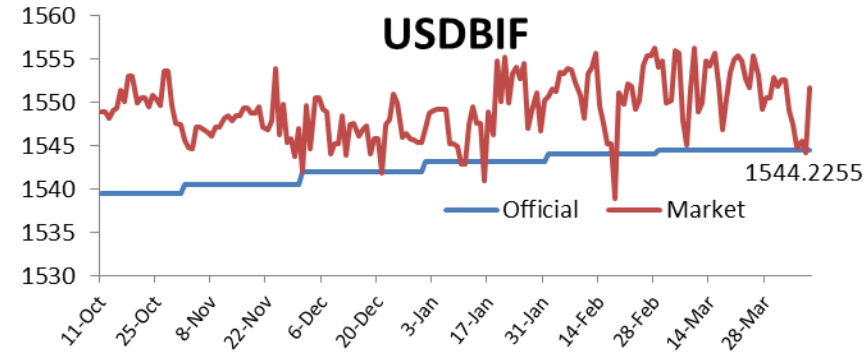
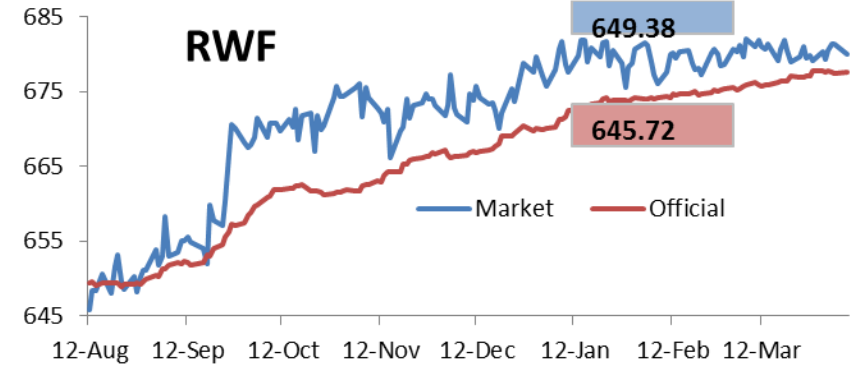
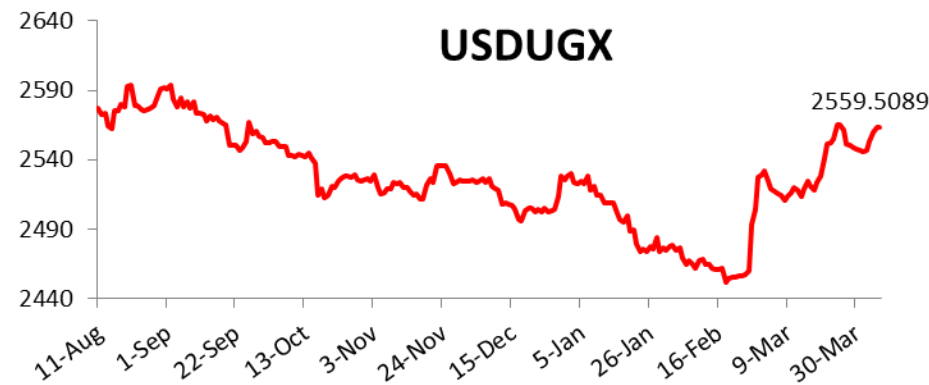
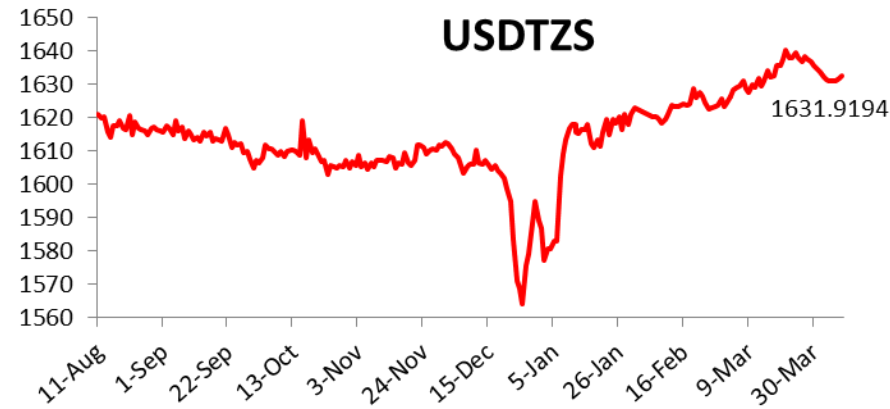
Source: The Economist Intelligence Unit



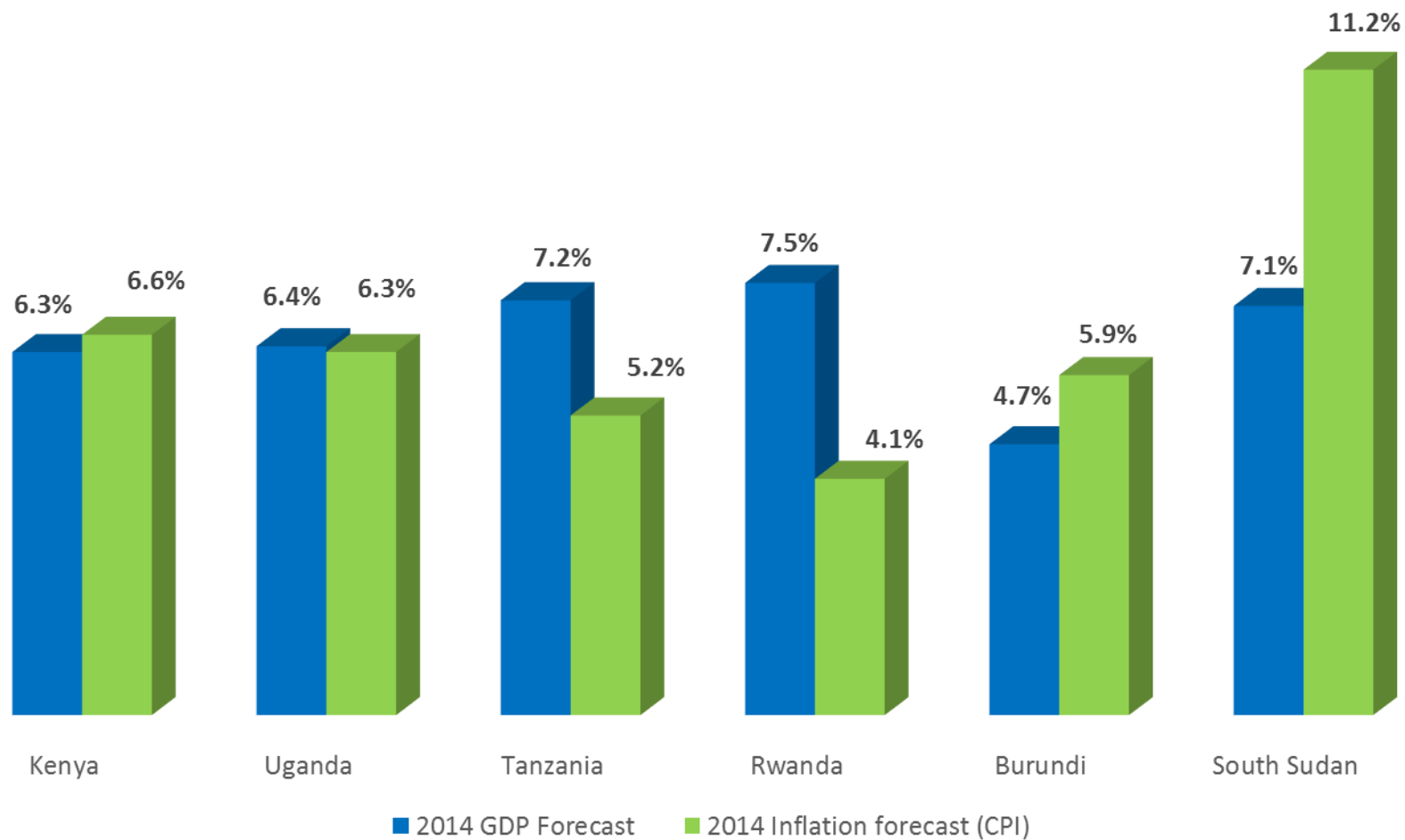
KESUSD Movement



Source: CBK



Source: Trading Economics



Source: MF –World Economic Outlook, April 2014

- Sub Sahara Africa: inflation is expected to continue its downward trend as food and energy prices remain low, which combined with steadily rising remittances should stimulate household consumption and permit a continued rapid expansion of domestic demand
- GDP growth in Sub-Saharan Africa to accelerate to 5.5 percent in 2014, up from 4.9 percent last year
- A modest fiscal consolidation is projected to start in 2014; but fiscal deficits will remain elevated as governments maintain their investment programs while revenue stays low. Current account deficits are projected to widen in 2014-15, before narrowing in 2016 as import growth decelerates and export capacity strengthens
- Globally, The U.S. Federal Reserve taper of asset purchases is not expected to have a major impact on countries (except South Africa) in the region owing to their limited integration in global financial markets
- Frontier market countries that have seen significant portfolio inflows in local securities markets would also be affected by the reversal of capital flows; and countries that are planning to tap the international bond markets are likely to face higher coupon rates

Source: The Economist Intelligence Unit

KCB | KEY STRATEGIC THEMES

Continued profitability from all businesses, despite the South Sudan conflict

International Business Consolidation

Customer Leadership

eQMS - 8 additional branches
Additional 410,000 customers

Business Efficiency and Growth

Sustainability

CIR down from 59.6% to 49.1%
Agency outlet increase to 7,181
Mbenki customers increase to 210,000

15% savings made on Group resource consumption
KShs 2.5B due diligence for 5 Group projects
Implementation of SEMS completed in Kenya.

Technology and Innovation

New Business Opportunities



Robust Mbenki and Agency banking platforms
EMV migration

Over 25 Bancassurance products rolled out.
Investment Banking license from the CMA.

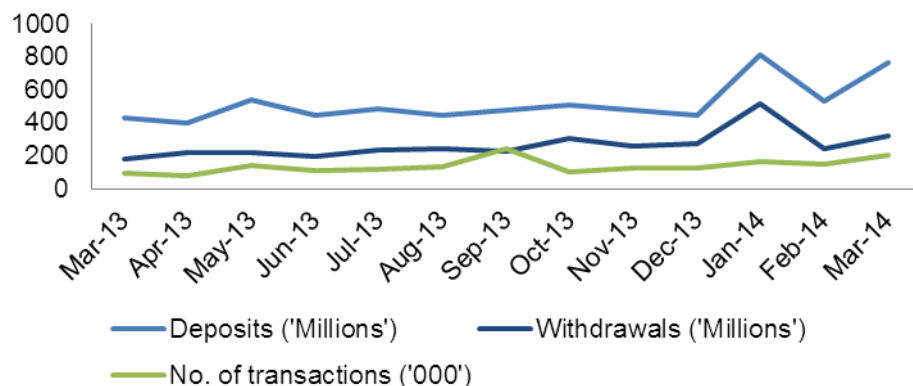
“A wave of technological innovations promises to transform finance. Financial activities are increasingly conducted not in bank branches, insurance agencies or the offices of financial advisors. Instead, ever more take place via electronic devices or in unconventional locations such as bank offices in the corners of grocer’s shops.

Already, new approaches have changed the way we pay bills, contract auto insurance and trade stocks. Innovations now in their early stages will alter how people transfer money to family members, pay for food at the farmers market, secure loans from peers and raise capital to fund business ventures.”

The Economist Intelligence Unit

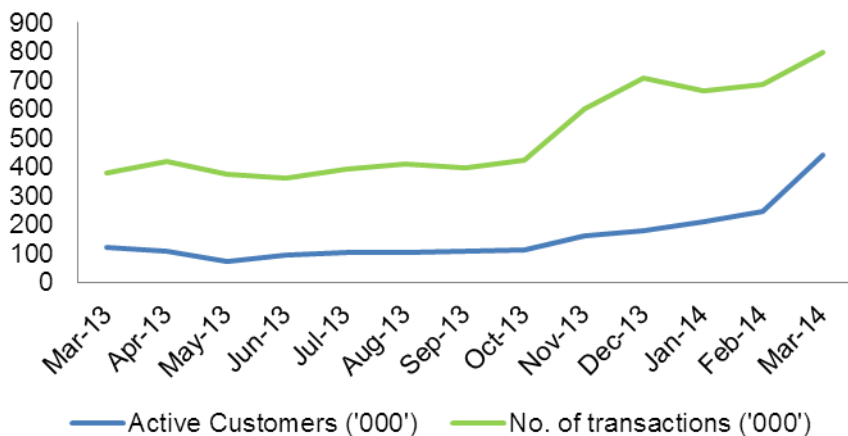
KCB, a market leader in Technology and innovation, has maintained its position in 2014 through advancements in the Agency Banking Solution and Hardware, Mobile Banking Interface with key MNOs and Advanced Internet Banking features in order to enhance customer convenience and grow fee income

Agency Banking in 2014

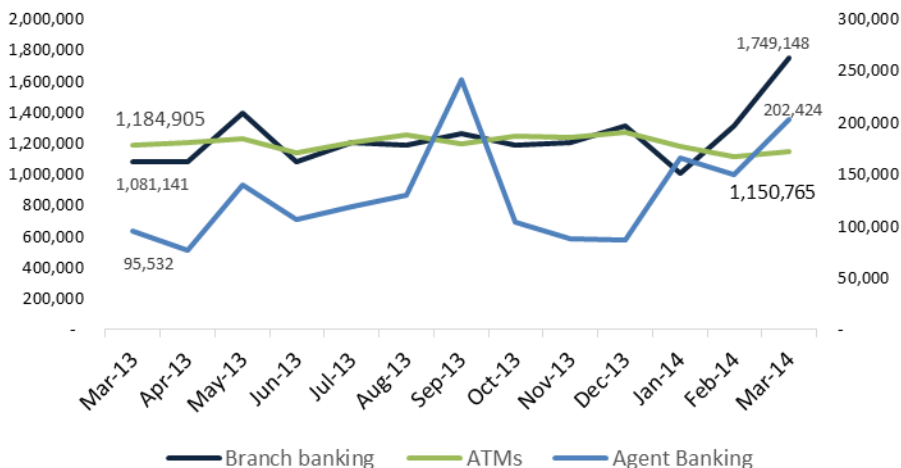


- Variable cost model for our agent customers
- Leveraging on 3rd party infrastructure and cash flows of the agency model
- Agent services include account opening, balance enquiry, Cash deposit, Funds Transfer, Cash withdrawal, mini statement, and School fees, bill & rent payment.
- Agents bring financial services closer to the community, at lower cost and offer greater timing convenience
- Seamless transfer of funds from the account to Mpesa via API connectivity
- Convenience of applying for loans through KCB Mobi Loan application
- Robust ICT infrastructure
- Successful EMV Migration

Mobile Banking in 2014



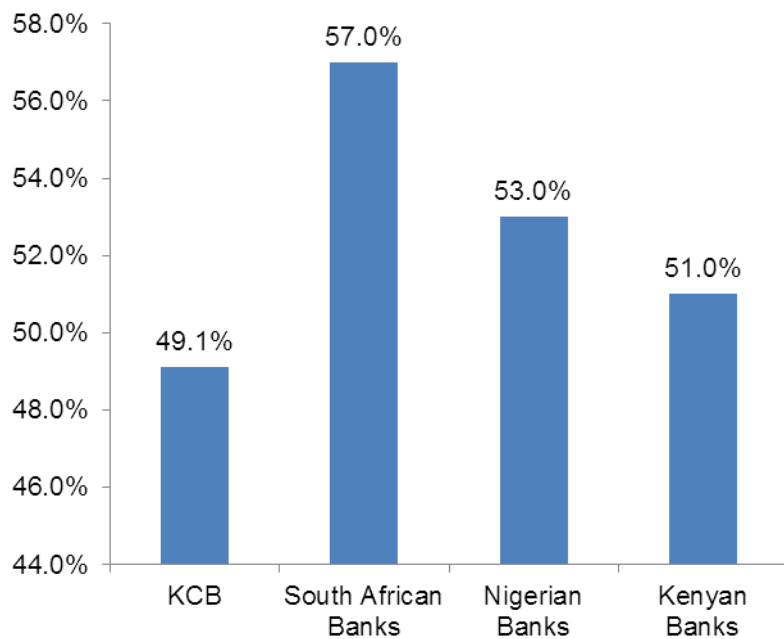
Evolution of transactions to Alternative Channels



Growth Potential

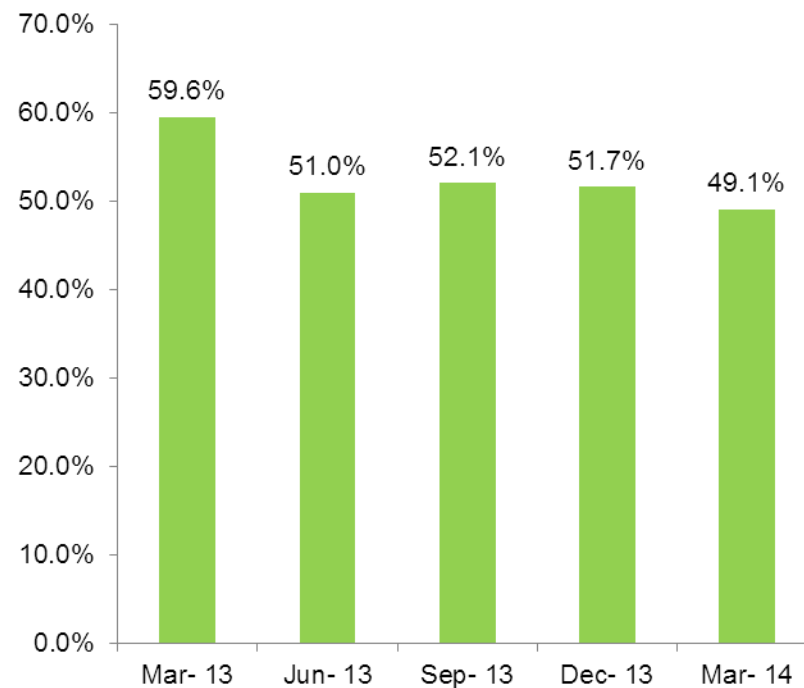
- Efficiency offering to drive low CIR
- Unique distribution model leveraging on branches, agencies, ATMs, mobile and internet Banking
- Introduction of new products leveraging off KCBs existing distribution platform

CIR Benchmark

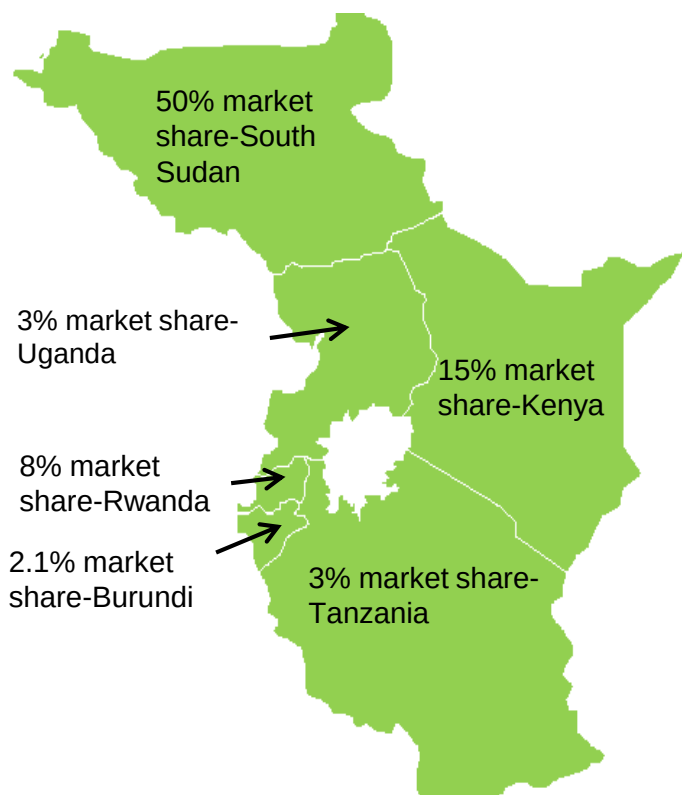


CIR of KCB Group

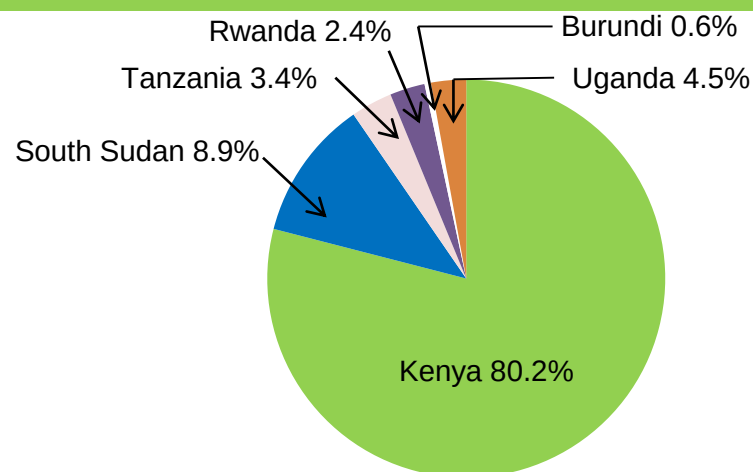
- Improved CIR from 59.6% to 49.1% year on year



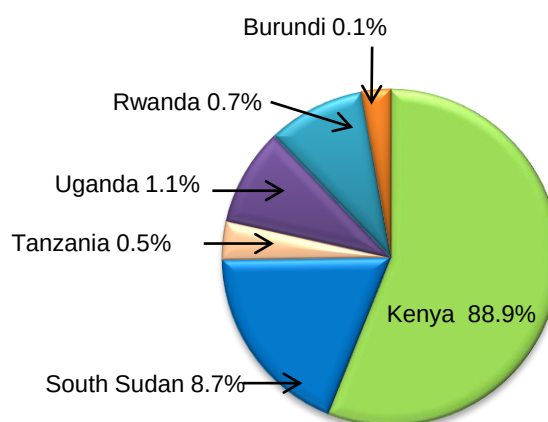
- Focus on High margin lending – specifically to the SME, Micro and Personal segments
- Improved customer leadership through improved services and system uptime
- Deliberate action to achieve Social, Financial, Economic and Environmental sustainability
- Talent maximization through embedding a culture of performance and productivity



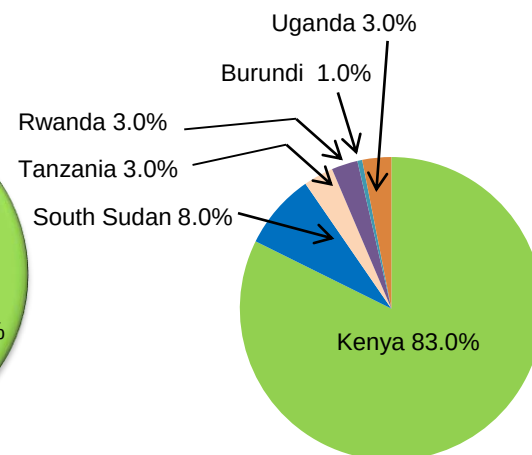
Total Assets Contribution



PBT Contribution



Total Revenue Contribution



THANK YOU FOR PUTTING US ON TOP



KCB Group was recently voted by The Banker Awards as the Bank of the Year 2013 - Africa and Bank of the Year 2013 - Kenya.



- Best Bank in Retail
- Best Bank in Microfinance



- Best Pension Fund
- Leading custodian category



- Best Retail Bank in Kenya



- Best Banking Group, Kenya

EURO DEUTSCHE BANK AWARD

- STP Excellence Award

THE EUROPEAN AFRICAN BANKING & BUSINESS AWARDS 2013

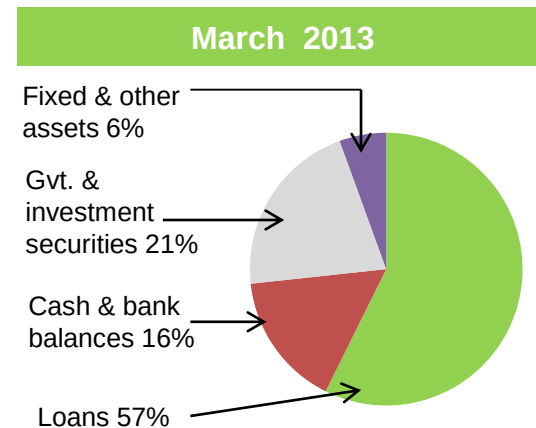
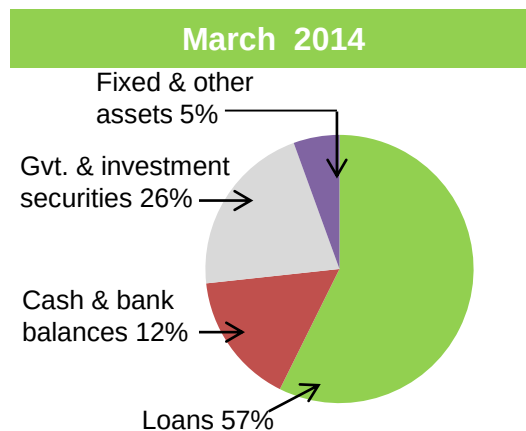
- Best Corporate Bank East Africa



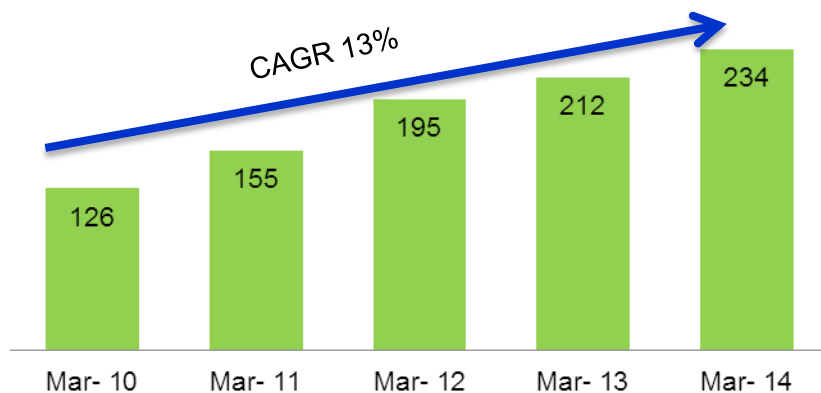
Q1 FINANCIAL RESULTS

	ACTUAL MAR 2014	ACTUAL MAR 2013	% Y-O-Y Change
Asset Portfolio			
Cash and balances with Central Bank	27,123	39,440	(31%)
Balances with other institutions	19,653	19,531	1%
Investments in Government securities	106,422	75,918	40%
Investment securities	1,991	2,296	(13%)
Net loans and advances	233,784	211,859	10%
Fixed assets	9,841	9,938	(1%)
Other assets	12,614	10,562	19%
Total Assets	411,429	369,545	11%

Total Assets increased by 11% due to;
a) Increase of 10% in lending.
b) Increase in Government securities of 40%.

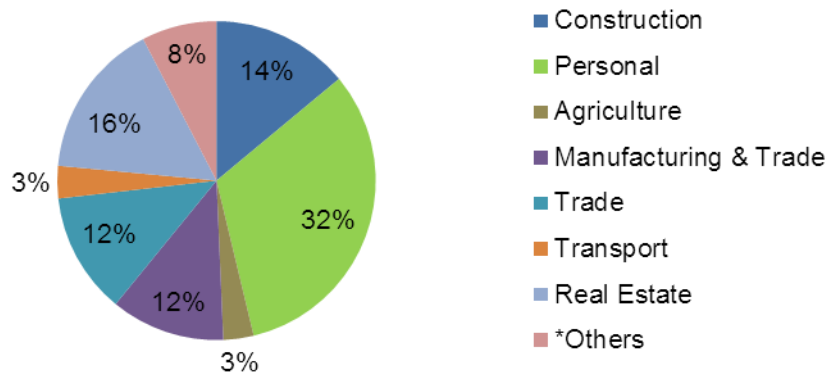


Net Loans & Advances (KShs. Bn)



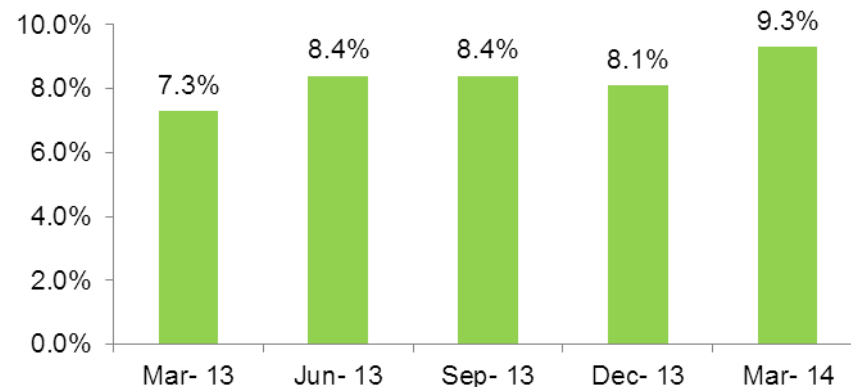
- Strong five year CAGR of 13%

Loan segmentation



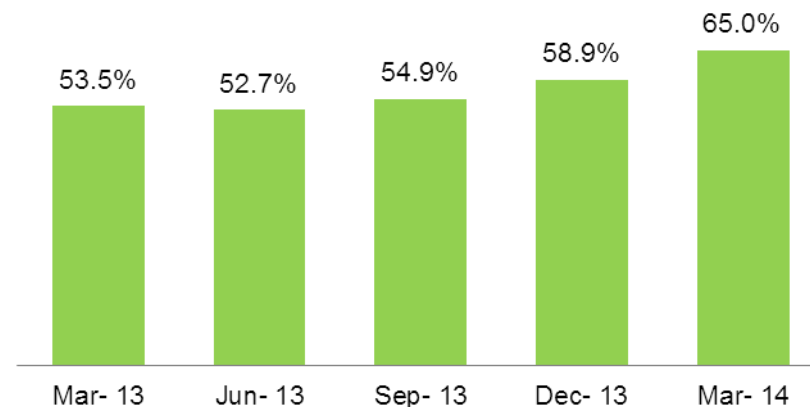
Opportunities for growth in Agriculture, Transport, Energy and Water
 *Others include financial services, Tourism, Energy, Water.

NPL Ratio



- Deterioration of NPLs is due to accounts in the construction sector
- Management is working closely with the customers and the accounts are expected to recover by September
- Additional provisions of Kshs 1.2bn put in Q1

Coverage Ratio



Provisioning Policy Under Central Bank Rules

- Provision amount on each individual account is computed monthly based on the Central Bank prudential guidelines and the relevant entries passed through the P&L in the Bank books of account
- Monthly the portfolio is subjected to an impairment assessment as per IFRS
- Impairment as per IFRS is compared to provisions amount as per Central Bank and if Central Bank provisions amount is greater than impairment as per IFRS, the difference is accounted for through reserves, otherwise an additional charge is recognized in P&L to increase provisions to the IFRS assessment

Summary of Central Bank of Kenya Rules

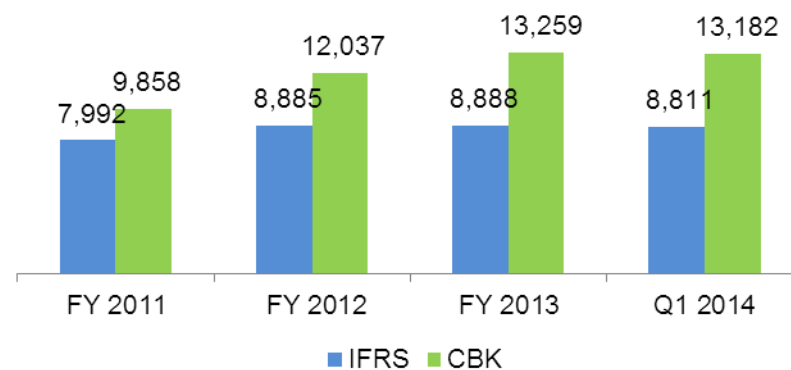
#	Classification Class	Overdue Days	Provisioning required
1	Normal	0-30	1%
2	Watch	31-90	3%
3	Substandard	91-180	20%
4	Doubtful	181-365	100%
5	Loss	Over 365	100%

Financial Statement- December 2013

Assets		Liabilities	
Gross Loans	242,595	Difference between CBK and IFRS provisions is recorded in a reserve included in the Shareholders' Equity	
IFRS Provisions	8,811		
Net Loans	233,784	Liabilities	344,652
Other Assets	177,645	Loan Loss Reserve	4,371
		Shareholders Equity*	62,406

*Excluding Loan Loss Reserve

Evolution of Provisions for Loans (KShs. Mn.)

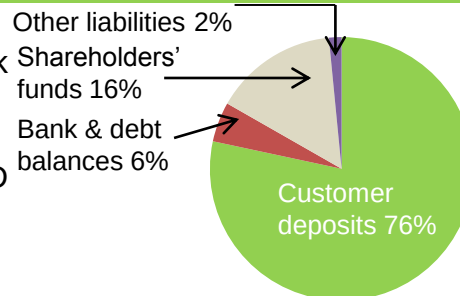


	ACTUAL MAR 2014	ACTUAL MAR 2013	% Y-O-Y Change
Funding Portfolio			
Customer Deposits	313,510	287,317	9%
Balances due to other banks	11,694	9,444	24%
Other liabilities	9,168	8,667	6%
Long-term debt	10,280	8,952	15%
Total Liabilities	344,652	314,381	10%
Share capital	2,984	2,970	<1%
Reserves and premium	57,824	46,550	24%
Proposed dividend	5,968	5,644	6%
Shareholders' Equity	66,777	55,164	21%
Total Liabilities and Equity	411,429	369,545	11%

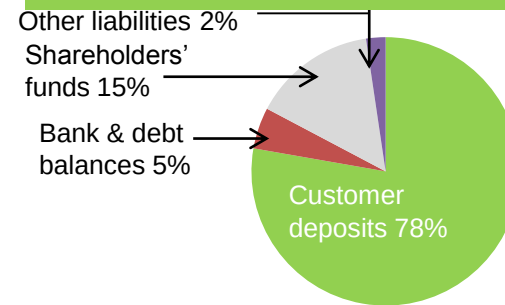
Total liabilities increased by 11% due to;

- Minimal increase in deposits, 9%, as the Bank released expensive deposits
- Shareholders' funds up 21%
- Long-term loan is USD denominated to fund USD loans

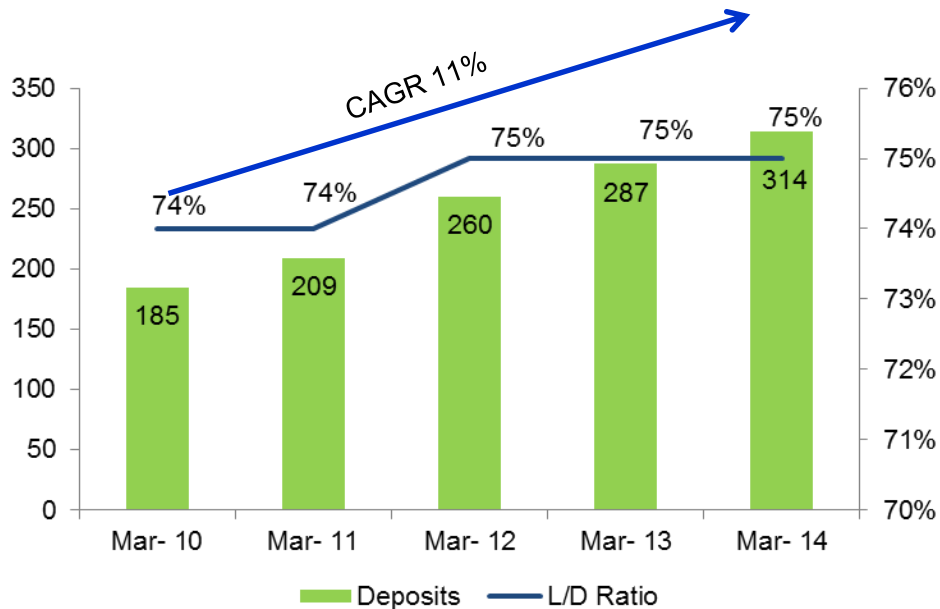
March 2014



March 2013

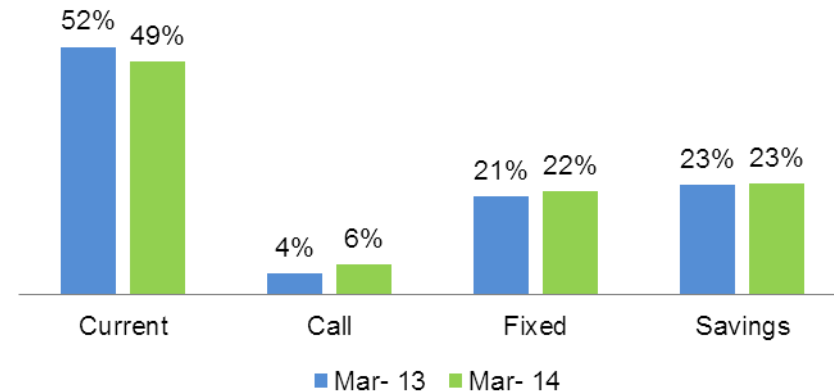


Customer Deposits (KShs. Bn)



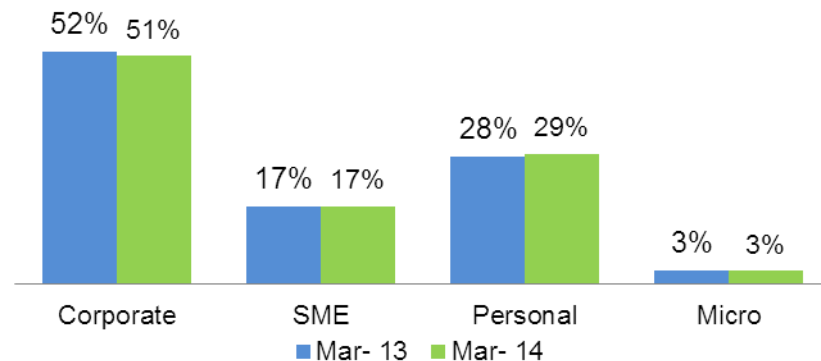
- Focus on low cost deposits riding on technology driven products
- Strong five year CAGR OF 11%

Deposits by Type- Mar 2014

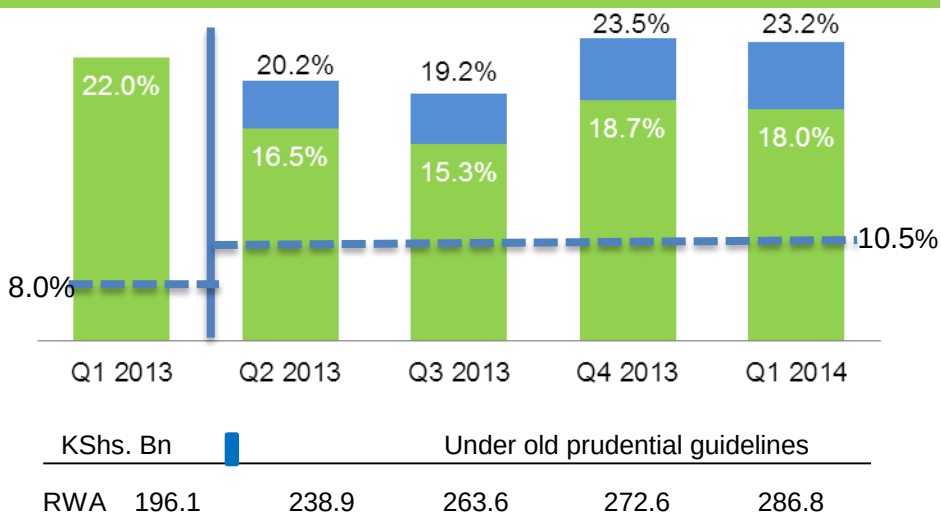


- Increase in wholesale deposits

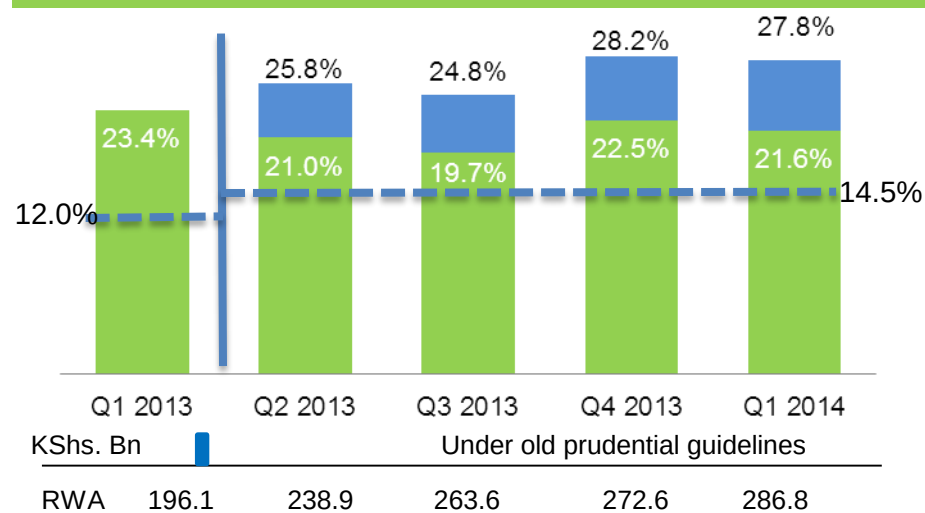
Deposits by Sector- Mar 2014



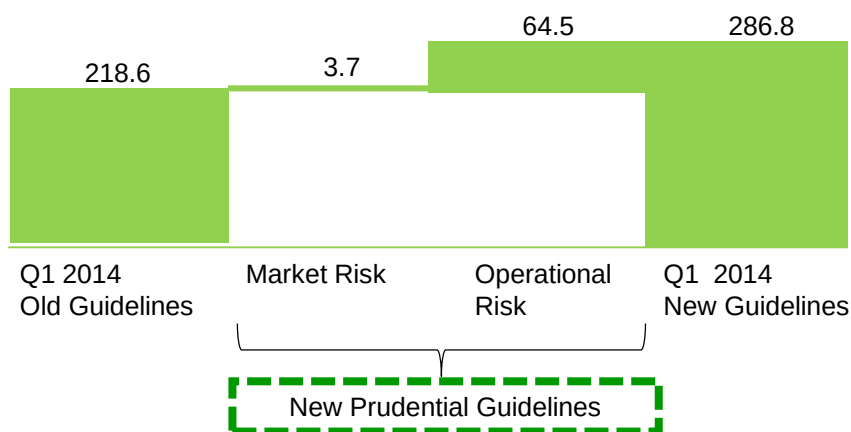
Core Capital/Total Risk Weighted Assets



Total Capital/Total Risk Weighted Assets



RWA Evolution (KShs. Bn)



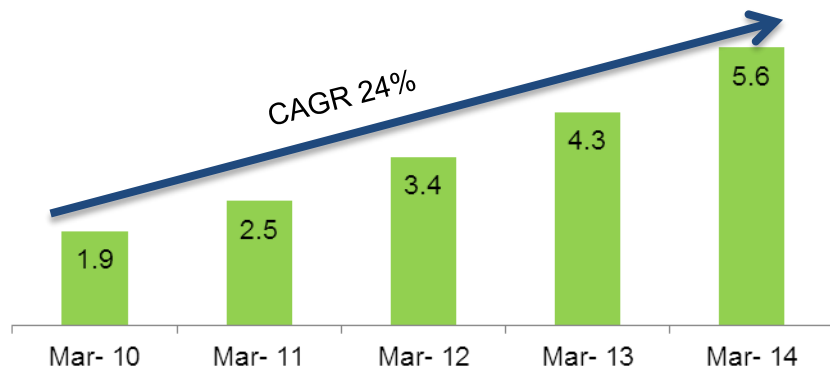
- Revised guidelines;
 - Introduced market and operational risk
 - Minimum ratios revised upward; CC/RWA from 8% to 10.5% and TC/RWA from 12% to 14.5%
- Capital of KShs. 20.3Bn to fund growth

	ACTUAL MAR 2014	ACTUAL MAR 2013	Y-o-Y % Change
Net interest income	8,321	7,374	13%
Foreign exchange income	1,113	1,113	-
Gross fees and commissions	2,708	2,427	12%
Other income	650	284	>100%
Total operating income	12,792	11,199	14%
Total operating expenses	(6,442)	(6,560)	(2%)
Net provisions for bad debts	(775)	(375)	>100%
Profit before tax	5,575	4,263	31%
Tax	(1,672)	(1,229)	36%
Profit after tax	3,902	3,034	29%

PBT up by 31% to KShs. 5.6Bn. from KShs. 4.3Bn as at the same period last year, supported by;

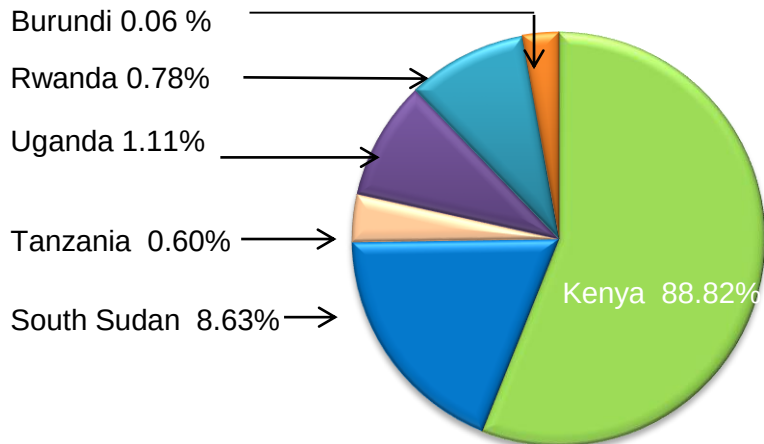
- Increase in net interest income by 13% due to lower cost of funds
- Slight growth in gross fees and commissions of 12%. Going forward focus is to grow non-funded income
 - Drive utilization of alternative channels
 - Cross selling
- Total operating expenses down by 2%
- Other income up more than 100% mainly KCB leadership Centre income and sale of obsolete assets
- Tax charge up by 36%
 - Due to 31% increase in PBT
 - Effective tax rate 29%

PBT Growth (KShs. Bn.)

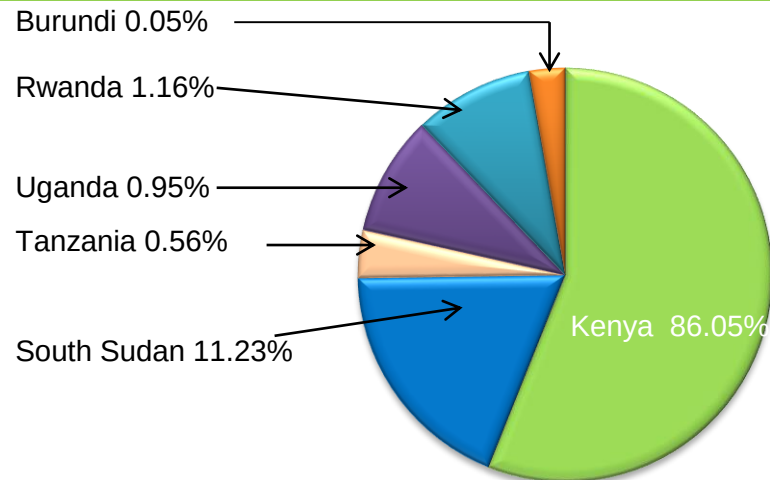


- Strong five year CAGR of 24% due to
 - Investment in innovation and technology
 - Increased customer numbers
 - Improved operational efficiency
 - Investment in alternative channels
 - Improved returns from regional operations

Distribution of PBT by Region-Mar 2014



Distribution of PBT by Region-Mar 2013



Performance Ratio	Q4 2012	Q1 2013	Q2 2013	Q3 2013	Q4 2013	Q1 2014	Q1 2014 Group
Profitability Ratios							
Return on Total Assets	3.8%	3.3%	4.2%	4.1%	4.0%	4.1%	3.9%
Return on Equity	22.6%	19.0%	23.5%	23.0%	21.6%	21.5%	24.0%
Efficiency Ratios							
Cost to Income	53.0%	50.6%	47.4%	48.5%	53.1%	46.6%	49.1%
Staff Cost to Income	26.8%	34.4%	28.0%	29.1%	27.5%	26.0%	25.8%
Performance Ratios							
Yield on Net Advances	17.0%	14.7%	14.8%	14.5%	14.7%	14.4%	14.3%
Yield on Money Markets	13.9%	12.4%	15.0%	13.5%	12.0%	11.4%	10.4%
Yield on Interest Earning Assets	16.3%	14.2%	14.9%	14.3%	13.8%	13.8%	12.8%
Cost of Funding	4.7%	3.3%	3.1%	2.8%	2.7%	3.3%	3.0%
Net Interest Margin	11.6%	10.9%	11.8%	11.5%	11.1%	10.7%	9.9%

Market capitalization (as at 25 th April 2014)	KShs- 148.5 Bn
Customer loans	234Bn
Customer deposits	314Bn
Assets	411Bn
Country of operations	6
Branch network	238
ATMS	958
Customers	2.9M
Number of agents	7,181

ROAA	3.9%
ROAE	24.0%
Tier 1 Ratio (old prudential guidelines)	23.2%
Tier 1 Ratio (new prudential guidelines)	18.0%
Tier 2 Ratio (old prudential guidelines)	27.8%
Tier 2 Ratio (new prudential guidelines)	21.6%
NIM	9.9%
CIR	49.1%
Number of staff	5,444

KCB | **THANK YOU**